# Bank of Baroda

BANKBARODA

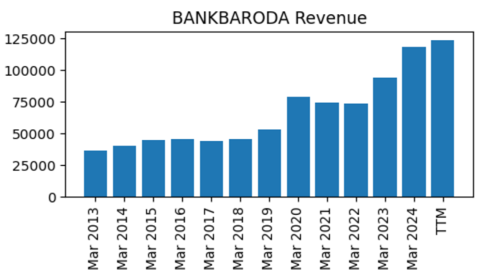
## Key Financial Metrics

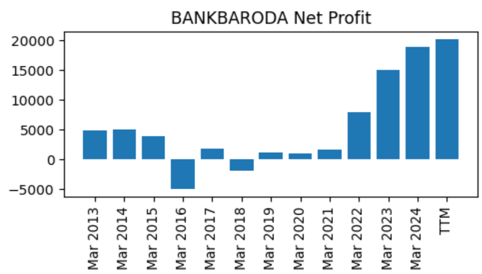
| | | |
|---|---|---|
| **ROE**<br>16.83% | **ROCE**<br>2.95% | **Debt / Equity**<br>12.14 |
| **Revenue CAGR**<br>11.31% | **FCF Conversion**<br>-33.25% | **Quality Score**<br>21.98 |

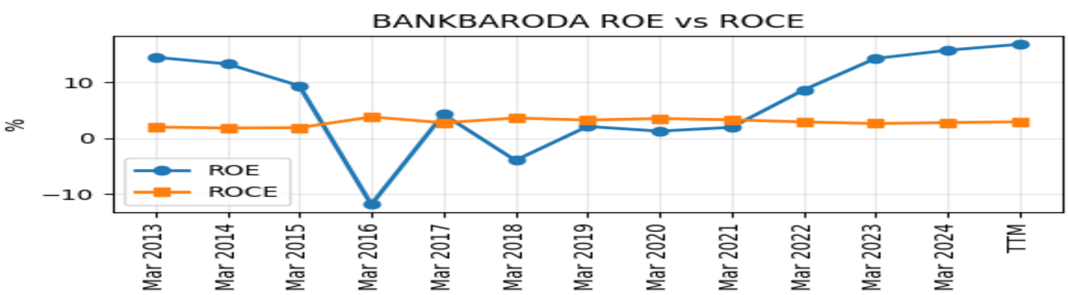
## Company Profile

| | |
|---|---|
| **Company** | Bank of Baroda |
| **Sector** | Financials |
| **Industry** | Public Sector Banks |
| **Market Cap (■ Cr)** | 590,971.02 |
| **P/E Ratio** | 16.89 |
| **P/B Ratio** | 4.15 |
| **Dividend Yield** | 2.62% |

## Financial Performance




## AI Investment Summary

Bank of Baroda currently faces multiple financial challenges that increase investment risk. It currently has healthy profitability, average capital efficiency, steady revenue growth, high quality cash-flow quality and elevated leverage. The overall financial quality score is 22.0/100. Key strengths include: Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency.; Profits are compounding faster than revenue, indicating improving operating leverage and scalability.; Operating profit margin above 25% indicates strong pricing power and cost discipline.. Key risks include: High leverage relative to equity can restrict future capital flexibility.; Return on capital employed below 10% indicates weak capital efficiency.; Low interest coverage indicates potential difficulty servicing debt if earnings fall.. Investment recommendation: Avoid. Overall, the company appears to be financially weak with elevated investment risk.

## Pros & Cons

| Pros | Cons |
|---|---|
| • Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency.<br>• Profits are compounding faster than revenue, indicating improving operating leverage and scalability.<br>• Operating profit margin above 25% indicates strong pricing power and cost discipline. | • High leverage relative to equity can restrict future capital flexibility.<br>• Return on capital employed below 10% indicates weak capital efficiency.<br>• Low interest coverage indicates potential difficulty servicing debt if earnings fall.<br>• Two consecutive years of negative free cash flow point to weak cash generation. |

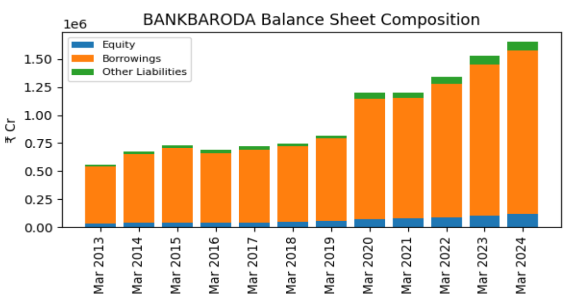
## Investment Recommendation

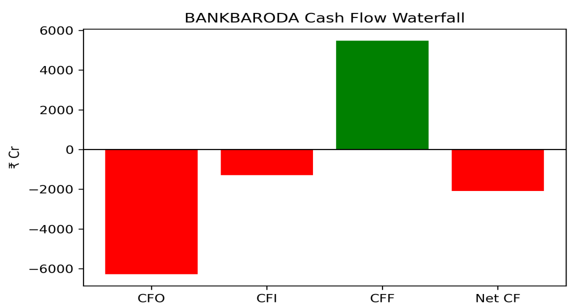
| | |
|---|---|
| **Recommendation** | **AVOID** |
| **Risk Level** | VERY HIGH |
| **Confidence** | LOW |

**Recommendation Reason:**
The recommendation is based on an adjusted financial score of 22.0/100, supported by 3 identified strengths, 4 identified risks, and cash-flow quality rated as High Quality.

**Adjusted Score:** 22.0

## Balance Sheet & Cash Flow




## Financial Health

| | |
|---|---|
| **Profitability** | Moderate |
| **Growth** | Strong |

| | |
|---|---|
| **Cash Flow** | Weak |
| **Leverage** | Weak |
| **Valuation** | Cheap |

## Capital Allocation

**Growth Funded by Debt**